Cap Table Transformation for Exit Readiness

From Fragmented Structure → Institutional-Grade Alignment

CURRENT STATE – FRAGMENTED

Undefined Positions
Unresolved obligations (e.g., $350K – Erwin) with no formal instrument or exit treatment defined.

Scattered Shareholding
Legacy allocations dispersed across parties without consolidated ownership logic.

Ad-Hoc Bridge Contributions
Informal runway funding with no clear conversion terms or priority stack.

Hidden / Off-Balance-Sheet Liabilities
Obligations not reflected on the balance sheet, creating diligence exposure.

No Clear Dilution Logic
Absence of a pro-rata or dilution framework leaves terms open to dispute at exit.

Founder Absorbing Runway Shocks
Operational risk concentrated on the founder with no structural distribution of exposure.

Risk Exposure: Buyer Discount Risk · Delayed Exit Timeline · Negotiation Weakness

TARGET STATE – EXIT READY

Defined Instruments
Full clarity on equity vs. convertible instruments — each position formally structured and documented.

Consolidated Ownership Structure
Single, clean cap table reflecting all economic interests — investor-ready and audit-proof.

Contribution-Aligned Participation
Economic rights calibrated to actual contributions — defensible to any buyer or underwriter.

Clean Liability Visibility
All obligations surfaced, classified, and disclosed — eliminating diligence surprises.

Pro-Rata + Dilution Framework
NJ-compliant dilution logic with clear waterfall — no ambiguity at closing.

Broker & Buyer Ready Cap Table
Formatted for M&A advisory, institutional buyers, and regulatory review from day one.

Outcome: Buyer Confidence · Accelerated Timeline · Maximum Negotiating Leverage

← Current Fragmentation
Undefined, dispersed, and undocumented positions that discount valuation and stall diligence.

→ Structured Rationalization via Pending Table
A formal pending resolution table maps every open position to its instrument, treatment, and exit outcome — closing the structural gap.

Exit-Ready Alignment →
Institutional-grade cap table protecting **$40M–$100M** in exit value, funded on **$12–15K/month** runway discipline.

"Structure, not capital, is the final unlock to exit realization."